Note 7—Income Taxes:

Income taxes (benefits) provided on earnings consisted of:

	For the Years Ended December 31,		
	2007	2006	2005
Current:			
U.S. Federal	$ 62,704	$ 72,839	$43,936
U.S. State	11,284	12,247	22,916
Non-U.S.	2,594	770	2,131
	76,582	85,856	68,983
Deferred:			
U.S. Federal	40,278	46,332	(2,354)
U.S. State	19,277	(19,758)	(2,290)
	59,555	26,574	(4,644)
Total Income Taxes	$136,137	$112,430	$64,339

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The components of the net deferred tax assets are as follows:

	December 31, 2007	December 31, 2006
Deferred Tax Assets:		
Postretirement benefits other than pensions	$ 997,930	$ 923,419
Alternative minimum tax	197,009	180,061
Mine closing	139,742	134,924
Net operating loss	63,866	66,424
Pneumoconiosis benefits	59,506	75,714
Workers' compensation	57,055	63,148
Capital lease	41,415	44,878
Salary retirement	38,839	46,932
Reclamation	13,277	12,852
Gas hedge	—	2,589
Other	81,702	77,858
Deferred Tax Assets	1,690,341	1,628,799
Valuation Allowance	(59,908)*	(66,084)**
Total Deferred Tax Assets	1,630,433	1,562,715
Deferred Tax Liabilities:		
Property, plant and equipment	(1,058,596)	(874,989)
Advance mining royalties	(23,493)	(22,913)
Gas hedge	(3,738)	—
Other	(38,975)	(39,586)
Total Deferred Tax Liabilities	(1,124,802)	(937,488)
Net Deferred Tax Assets	$ 505,631	$ 625,227

* Valuation allowance of ($2,476) and ($57,432) allocated between current and noncurrent deferred tax assets respectively.
** Valuation allowance of ($2,571) and ($63,513) allocated between current and noncurrent deferred tax assets respectively.

According to Statement of Financial Accounting Standards Board Statement 109, "Accounting for Income Taxes," a deferred tax asset should be reduced by a valuation allowance if, based on the weight of available evidence, it is more likely than not that some

portion or all of the deferred tax asset will not be realized. All available evidence, both positive and negative, must be considered in determining the need for a valuation allowance. For the year ended December 31, 2007, positive evidence considered included future income projections based on existing fixed price contracts and forecasted expenses, reversals of book to tax temporary differences, and the implementation of and/or ability to employ various tax planning strategies. Negative evidence included book and tax losses generated in prior periods, and the inability to achieve forecasted results for those periods.

During 2006, CONSOL Energy concluded that a valuation allowance was no longer warranted against a portion of its state net operating loss carry forwards in certain tax jurisdictions. In 2007, CONSOL Energy implemented a prudent and feasible tax strategy that insured the realization of Pennsylvania loss carry forward tax benefits. The value of CONSOL Energy's net operating loss carry forwards increased significantly in 2006 as a result of a change in the Pennsylvania Statute which increased the annual limitation on the deduction for net

operating losses to be applied against future taxable income from $2,000 to the greater of $3,000 or 12.5% of taxable income for tax years beginning after 2006. CONSOL Energy's valuation allowance attributable to its operating loss carry forwards in West Virginia was also released during 2006. CONSOL Energy reported a cumulative tax loss for West Virginia tax purposes for the three-year period that includes December 31, 2004 through December 31, 2006 due to non-recurring tax return adjustments in 2004 and 2005 relating to adoption of SFAS No. 143, "Accounting for Asset Retirement Obligations," non-taxable OPEB subsidy accruals, and the refund of reclamation proceeds. Absent the non-recurring tax adjustments, CONSOL Energy would have reported cumulative taxable income on its West Virginia tax returns for the three-year period. CONSOL utilized $38,700 of its West Virginia operating loss carry forwards in 2006, and will report an additional net operating loss to the state for 2007 of $13,900. Based on the analysis of prior years' tax filings and projections of West Virginia taxable income for 2008 and future years, management believes that the benefits of the state operating loss carry forwards will be realized. As a result of the reduction of the valuation allowance relating to Pennsylvania and West Virginia operating loss carry forwards, CONSOL Energy reported a state income tax benefit in 2006 of $28,747 on an after Federal tax adjusted basis.

For 2007, CONSOL Energy continues to report a deferred tax asset of $27,881 on an after Federal tax adjusted basis relating to the remainder of CONSOL Energy's state operating loss carry forwards after valuation allowance. A review of the positive and negative evidence regarding these tax benefits, primarily the history of book and tax losses on a separate company basis, concluded that a valuation allowance was warranted. A valuation allowance of $23,123 on an after Federal tax adjusted basis has also been recorded against the deferred state tax asset attributable to future deductible temporary differences for certain CONSOL Energy subsidiaries with histories of book and tax losses. The net operating losses expire at various times between 2008 and 2027. Management will continue to assess the realization of deferred tax assets based upon updated income forecast data and the feasibility of future tax planning strategies, and may record adjustments to valuation allowances against deferred tax assets in future periods as appropriate that could materially impact net income. Included in the valuation allowance against the deferred state tax asset attributable to future deductible temporary differences is a $7,687 valuation allowance for deferred tax assets related to Statement of Financial Accounting Standards No. 158, "Employers' Accounting for Defined Benefit Pension and Other Post retirement Plans" in state jurisdictions which are subject to a full valuation allowance.

In August 2005, CNX Gas Corporation, a subsidiary of CONSOL Energy, sold 27.9 million shares in a private transaction. The shares were sold to qualified institutional, foreign, and accredited investors in a private transaction exempt from registration under Rule 144A, Regulation S and Regulation D. CNX Gas received proceeds of $420,167, which it used to pay a special dividend to CONSOL Energy. The financial statement gain reported on this transaction was $327,326. In accordance with SFAS 109, no Federal deferred tax has been provided on this sale as current tax law provides a means by which the excess of the reported amount of this investment over its tax basis can be recovered tax-free provided that CNX Gas remains a member of the CONSOL Energy consolidated group.

We estimate that CONSOL Energy will pay Federal alternative minimum tax of $14,800 for the year ended December 31, 2007, thereby creating additional deferred tax asset associated with the prior years' minimum tax credits.

For the year ended December 31, 2006, CONSOL Energy reported taxable income of $264,554 and utilized $18,818 of alternative minimum tax credits carried forward from prior years.

For the year ended December 31, 2005, CONSOL Energy reported taxable income, as amended and before utilization of prior years' net operating loss carry forwards, of $78,482. The remaining Federal operating loss carry forwards of $64,151 were utilized in 2005.

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The following is a reconciliation stated as a percentage of pretax income, of the United States statutory federal income tax rate to CONSOL Energy's effective tax rate:

	For the Years Ended December 31,					
	2007		2006		2005	
	Amount	Percent	Amount	Percent	Amount	Percent
Statutory U.S. federal income tax rate	$150,135	35.0%	$192,822	35.0 %	$ 229,139	35.0 %
Effect of gain on sale of 18.5% Interest in CNX Gas	—	—	—	—	(114,564)	(17.5)
Excess tax depletion	(43,502)	(10.1)	(55,229)	(10.0)	(53,069)	(8.1)
Effect of medicare prescription drug, improvement and modernization act of 2003	1,796	0.4	1,796	0.3	(9,621)	(1.5)
Effect of domestic production activities	(915)	(0.2)	(2,538)	(0.4)	(1,006)	(0.2)
Release of valuation allowances net of federal tax	(6,176)	(1.4)	(28,747)	(5.2)	—	—
Net effect of state tax	26,262	6.1	13,198	2.4	13,567	2.1
Net effect of foreign tax	787	0.2	770	0.1	2,130	0.3
Other	7,750	1.7	(9,642)	(1.8)	(2,237)	(0.3)
Income Tax Expense (Benefit)/Effective Rate	$136,137	31.7%	$112,430	20.4%	$ 64,339	9.8%

CONSOL Energy adopted the provisions of Financial Accounting Standards Board (FASB) Interpretation No. 48 (FIN 48), "Accounting for Uncertainty in Income Taxes an interpretation of FASB No. 109" on January 1, 2007. As a result of the implementation of FIN 48, the Company recognized an increase of $3,202 in the liability for unrecognized tax benefits upon adoption, which was accounted for as a reduction to the January 1, 2007 balance of retained earnings. Also, uncertain tax positions relating to taxable temporary differences were identified, and federal and state income tax liabilities were recorded. A corresponding deferred tax asset of $54,021 has been recorded representing the future tax benefit of the deductible temporary differences resulting from the adoption of the FIN 48 liabilities. During the year ending December 31, 2007 the Company recognized an increase of $13,317 in the liability for unrecognized tax benefits as a result of tax positions taken during the current period, and uncertain tax positions identified upon the acquisition of AMVEST Corporation. Of the total increase in the liability for unrecognized tax benefits, $10,497 was accounted for as a reclassification from deferred federal and state income taxes and $2,520 is attributable to uncertain tax positions recognized as a result of the acquisition of AMVEST Corporation. The increase in unrecognized tax benefits during 2007 resulted in a reduction in net income of $300.

The total amount of unrecognized tax benefits as of January 1, 2007 and December 31, 2007 were $50,100 and $63,417 respectively. If these unrecognized tax benefits were recognized, $10,051 and $12,871 would impact CONSOL Energy's effective income tax rate at January 1, 2007 and for the year ended December 31, 2007, respectively.

CONSOL Energy Inc. and its subsidiaries file income tax returns in the U. S. federal, various states and Canadian jurisdictions. With few exceptions, we are no longer subject to U.S. federal, state and local, or non-U.S. income tax examinations by tax authorities for years before 2002. The Internal Revenue Service (IRS) commenced its examination of CONSOL Energy's U.S. 2004 and 2005

income tax returns in 2006. As of December 31, 2007, the IRS has not proposed any significant adjustments relating to CONSOL Energy's tax

positions. The IRS is expected to issue its examination report in the second quarter of 2008. Depending upon whether or not CONSOL Energy agrees to the IRS' findings, the examination may not be finalized until 2009.

The IRS' examination of the CONSOL Energy's 2002 and 2003 tax returns has been substantially completed with one issue currently under review by the Appeals Division. Management is currently evaluating the merits of its position regarding the issue in dispute, and does not anticipate that the adjustment would result in material change to its financial statements. However, we anticipate that it is reasonably possible that an additional payment of approximately $1,536 of interest related to the issue (on the total deficiency proposed for the two-year period) will be made in the second quarter of 2008.

CONSOL Energy recognizes interest accrued related to unrecognized tax benefits in its interest expense. As of January 1, 2007 and December 31, 2007, we had an accrued liability of $5,077 and $8,503 respectively for interest related to uncertain tax positions. The accrued interest liability includes $3,426 that was recorded in the statement of income for 2007.

CONSOL Energy recognizes penalties accrued related to unrecognized tax benefits in its income tax expense. As of the date of adoption of FIN 48 and December 31, 2007, CONSOL had an accrued liability of approximately $1,200 for tax penalties.

A reconciliation of the beginning and ending amount of unrecognized tax benefits is as follows:

Balance of unrecognized tax benefits at January 1, 2007	$ 50,100
Increase/(decrease) in unrecognized tax benefits resulting from tax positions taken during current period	13,317
Increase/(decrease) in unrecognized tax benefits resulting from tax positions taken during prior period	—
Reduction to unrecognized tax benefits as a result of the lapse of the applicable statute of limitations	—
Reduction to unrecognized tax benefits as a result of a settlement with taxing authorities	—
Balance of unrecognized tax benefits at December 31, 2007	$ 63,417